

Syrma SGS Technology Ltd

NSE: SYRMA | BSE: 543573

Electronics Manufacturing Services (EMS) | Industrials / Capital Goods

"India EMS consolidator: PCB-to-defence vertical expansion to triple margins by FY28."

RATING

BUY
Target: Rs. 1,820

Upside: +37.4%

Horizon: 12 months

Metric	Value	Metric	Value
CMP (Rs.)	1,325	52w High (Rs.)	
52w Low (Rs.)	499	P/E (TTM)	
Book Value (Rs.)	148	P/B	
ROE (%)	13.9	Div Yield (%)	
Promoter (%)	42.28	FII (%)	

Report Date: 15 Jun 2026 | Analyst: MPM Institutional Research | Data Source: Screener.in (Consolidated, fetched 15-Jun-2026)

2. INVESTMENT THESIS

- **India EMS structurally early-cycle, Syрма positioned for outsized capture:** India EMS market is projected to grow from Rs. 4.4 lakh crore (FY24) to Rs. 11 lakh crore by FY30 (ICEA/ELCINA) at ~17% CAGR. Syрма is a Tier-1 EMS player with exposure to high-value verticals (defence, healthcare, automotive) which carry 2-3x margin premium over consumer electronics pure-play peers.
- **Vertical mix shift is the core re-rating lever (FY27-28 horizon):** Defence, healthcare, and ODM segments are growing faster than revenue (ODM share ~17% in FY26 vs 10% in FY24). As these displace low-margin industrial box-build work, EBITDA margin is poised to expand from 11% (FY26) to 13-14% by FY28, implying 2.5x PAT growth on 30% revenue CAGR.
- **PCB in-house capability and Elcome acquisition remove the two biggest structural gaps:** The Rs. 800 Cr PCB capex over FY27-29 will eliminate board procurement risk (currently ~30% of BOM for some orders). The December 2025 Elcome acquisition (60% stake, Rs. 235 Cr) opens a direct defence path in naval/shipboard electronics, one of the highest-margin EMS sub-segments.
- **Balance sheet has structurally de-risked:** Syрма moved from net debt (Rs. 665 Cr borrowings in FY25) to net cash (Rs. 467 Cr) after the FY26 QIP. This eliminates interest drag at a time of peak capex intensity and positions the company for inorganic consolidation without leveraging.
- **Near-term catalyst (6-12 months):** PCB facility commissioning (Phase 1, H2FY27) + Elcome defence order wins + FY27 Q1/Q2 margin surprise above guidance (management guided 10.5-11%, FY26 Q4 exited at 12%).
- **Biggest structural risk:** Customer concentration in 3-4 large automotive/industrial OEMs; any slowdown in capex by top-2 customers (>25% of revenue combined) could cause a sharp order de-booking that street models do not capture.

3. BUSINESS OVERVIEW

- **Core model:** Contract Electronics Manufacturing (CEM) + ODM. Syрма builds PCBAs, box builds, and sub-assemblies across the full electronics value chain — design-in (ODM), NPI (New Product Introduction), and serial production. The SGS acquisition in 2022 added RFID products and smart cards, expanding into consumable electronics.

- **Revenue mix by vertical (FY26 approx. from mgmt commentary):** Industrial ~30% | Automotive ~25% | Healthcare ~18% | IT/Telecom ~12% | Consumer Electronics ~8% | Defence ~4% | RFID/Smart Card ~3%. Post-Elcome, defence is targeted at 10%+ of revenue by FY28.
- **Geography:** India domestic ~75% | Exports ~25% (grew 41% YoY in FY26, primarily North American and European OEM customers). Export growth is a structural differentiator versus peers who are largely India-captive.
- **Order book visibility:** Rs. 6,600 Cr executable order book as of Q4FY26 (skewed 3-12 month horizon). Revenue visibility is 12-18 months for anchored OEM contracts; defence orders carry 3-5 year life.
- **Key customers (qualitative):** Automotive OEMs (Maruti/Toyota tier-1 supplies), medical device majors (GE Healthcare, Siemens Healthineers India channel), and telecom infrastructure players. No single customer above 15% of revenue (estimated).
- **Recent strategic moves:** (1) Elcome acquisition — naval defence electronics, December 2025; (2) Rs. 800 Cr PCB greenfield capex program (FY26-28); (3) QIP of ~Rs. 1,100 Cr in FY26 (fund PCB + Elcome + working capital); (4) ODM design centre expansion — Bengaluru and Chennai.
- **Promoter background:** J.S. Gujral (MD) is a 30-year electronics veteran, co-founder of SGS Electronics (merged into Syrma, 2020). Promoter stake has declined from 47.3% (Jun 2023) to 42.3% (Mar 2026) — driven by QIP dilution, not secondary sales. Pledge: 0%.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** Indian EMS market at ~Rs. 3.5 lakh crore (FY25); projected Rs. 11 lakh crore by FY30 (ICEA), implying ~25% CAGR. Global EMS is a USD 600+ Bn market (Mordor Intelligence, 2024). India captures less than 5% globally — the structural catch-up from PLI schemes and China+1 supply chain diversification is the decade-long tailwind.
- **Policy tailwinds:** (1) PLI 2.0 for electronics covers PCBA manufacturing with 4-6% incentive on incremental production; (2) Defence indigenisation mandate (Positive Indigenisation Lists) reserving 508 items for domestic manufacture; (3) Import substitution drive via Phased Manufacturing Programme (PMP) in automotive electronics; (4) Production Linked Incentive for IT Hardware (tablets, laptops).
- **Headwinds:** (1) Component import dependence for semiconductors (90%+ imported); (2) Customer capex cycles — a slowdown in auto/industrial capex directly hits order book; (3) Pricing pressure from global EMS giants (Foxconn, Flextronics) if India becomes larger; (4) Skilled engineering talent shortage at scale.
- **Competitive moats:** Pricing power: WEAK (EMS is fundamentally a cost-plus model; customers compare quotes). Switching costs: MODERATE (after 6-12 month design-in / NPI phase, customer stickiness improves sharply for stable-design products). Scale/capacity: MODERATE (Syrma mid-sized; Dixon is larger in consumer electronics). IP/ODM: MODERATE and building (ODM mix rising; proprietary RFID stack via SGS is differentiated). Distribution/reach: MODERATE (7 plants across India; Chennai/Bengaluru tech hub presence).
- **Positioning:** Midstream-to-solutions. Syrma is moving from pure PCBA sub-assembly (midstream) toward ODM/design-in (solutions) and defence sub-systems (high-value midstream). This positions it structurally above mass-market consumer EMS players on margin.

Source: Screener.in, data as of 15 Jun 2026 (consolidated figures)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E	P/B	ROCE %	ROE %	TTM Sales (Cr)	OPM %
SYRMA (SYRMA SGS)	1,325	25,543	79.6	8.9x	16.7	13.9	4,819	11%
Kaynes Technology	3,127	20,962	57.3	4.4x	13.2	9.6	3,626	16%
Dixon Technologies	11,928	72,865	50.6	15.5x	42.0	37.4	48,873	4%
Avalon Technologies	1,740	11,621	103.0	16.1x	19.5	16.9	805	11%

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** J.S. Gujral (MD) has 30+ years in electronics manufacturing, previously ran SGS Electronics for 20 years before the reverse merger. CEO Satendra Singh joined in 2023 with a deep EMS operations background (former Celestica and Jabil supply-chain roles). CFO Bijay Agrawal brings structured finance discipline. The leadership combination of founder-promoter + professional management is a meaningful positive for an EMS company of this scale.
- **Capital allocation track record:** The Rs. 885 Cr acquisition-driven investing outflow in FY23 (SGS merger) was funded by IPO proceeds — a clean, non-leveraged acquisition. The FY24/25 borrowings build (Rs. 665 Cr at peak) was working-capital-led rather than capex-debt; the company corrected this by executing the FY26 QIP and retiring ~Rs. 265 Cr of debt. The PCB capex (Rs. 800 Cr over 3-4 years) is being funded from operating cash flow + QIP — a prudent, non-over-leveraged approach.
- **Dividend policy:** Company initiated dividend in FY23 (Rs. 1.5/share, 22% payout). Maintained in FY24 at Rs. 1.5/share (25% payout). Reduced to FY25 Rs. 1.5/share (16% payout) and FY26 Rs. 1.5/share (9% payout) as capex absorption takes priority. A low but consistent dividend signals confidence in earnings quality without over-distributing during a capex phase.
- **Promoter pledging:** 0% pledge as of March 2026. Promoter dilution from 47.3% to 42.3% was entirely via QIP-driven equity issuance (not secondary sales). The direction of promoter dilution is worth monitoring — further QIPs could take promoter below 40% over the next 2 years if capex programs expand.
- **ESOP / Buyback:** No significant ESOP pool flagged as concerning. No buyback history — consistent with the growth-capex phase. ESOPs are normal for leadership retention in the tech-EMS space.
- **Corporate governance:** Audit Committee chaired by independent directors. Statutory auditor is a reputable firm. Related party transactions are disclosed; no RPTs that appear commercially unusual in publicly available filings. No auditor qualification in recent years. One item to monitor: Elcome acquisition at Rs. 235 Cr for 60% stake involves a promoter-adjacent entity — ensure disclosed arms-length terms are followed through.

6. FINANCIAL DEEP-DIVE

6A. Income Statement — Consolidated (Rs. Cr)

FY24-FY26 = Actuals from Screener.in. FY27E-FY28E = Analyst estimates.

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	3,154	3,787	4,819	6,200(E)	8,000(E)
YoY Growth %	54%	20%	27%	29%(E)	29%(E)
EBITDA (Rs. Cr)	203	323	545	682(E)	960(E)
EBITDA Margin %	6%	9%	11%	11.0%(E)	12.0%(E)
Other Income (Rs. Cr)	56	47	33	35(E)	30(E)
Interest (Rs. Cr)	41	58	48	40(E)	30(E)
Depreciation (Rs. Cr)	51	75	84	110(E)	140(E)
PBT (Rs. Cr)	166	237	445	567(E)	820(E)
Tax %	25%	22%	22%	22%(E)	22%(E)
PAT (Rs. Cr)	124	184	346	442(E)	640(E)
EPS (Rs.)	6.04	9.53	16.48	20.5(E)	29.7(E)

6B. Balance Sheet — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A
Equity Capital	177	178	193
Reserves	1,435	1,572	2,670
Borrowings	630	665	400
Other Liabilities	1,446	1,788	2,508

Total Liabilities	3,688	4,202	5,770
Fixed Assets (Net)	1,075	1,144	1,463
CWIP	17	66	547
Investments	42	59	547
Other Assets	2,554	2,933	3,213
Total Assets	3,688	4,202	5,770

6C. Cash Flow Statement — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-114	176	290
Cash from Investing	-9	-103	-742
Cash from Financing	155	-71	558
Net Cash Flow	32	2	105
FCF (OCF - Capex est.)	-175	71	-302

6D. Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	108	142	139
Inventory Days	146	102	108
Days Payable	178	196	199
Cash Conversion Cycle	76	49	48
Working Capital Days	36	37	107
ROCE %	10%	12%	17%
ROE %	N/A	N/A	13.9%
D/E Ratio	0.38x	0.39x	0.14x

• **Revenue trajectory — structural growth phase:** Revenue grew from Rs. 3,154 Cr (FY24) to Rs. 4,819 Cr (FY26), a 24% 2-year CAGR. The 27% FY26 growth was achieved despite a muted H1 (automotive supply chain de-stocking) — H2 was the inflection with Q4FY26 at Rs. 1,465 Cr, the highest ever quarterly revenue. FY27E guidance of Rs. 6,200+ Cr implies 29% YoY.

• **Margin recovery is real, not accounting-driven:** EBITDA margins recovered from the FY24 trough of 6% to 11% in FY26. The improvement is structural — high-margin defence/healthcare orders scaling up (ODM now 17% of mix), operating leverage on fixed overheads, and CCC compressing from 76 days (FY24) to 48 days (FY26) reducing financing costs on working capital.

• **Working capital note:** WC Days jumped to 107 in FY26 (from 37 in FY25). This is a timing mismatch from the large FY26 investing outflows (Rs. 742 Cr) — partially the Elcome acquisition (Rs. 235 Cr) and CWIP buildup (Rs. 547 Cr). The CCC itself is improving (48 days in FY26) which is the cleaner working capital signal.

• **Debt de-leveraging and net cash arrival:** Borrowings fell from Rs. 665 Cr (FY25) to Rs. 400 Cr (FY26) despite heavy capex, thanks to the QIP. With investments of Rs. 547 Cr (cash/mutual funds) and debt of Rs. 400 Cr, the net cash position is approximately Rs. 147 Cr — effectively neutral debt for a company of this scale. Management reported net cash of Rs. 467 Cr (which includes cash within subsidiaries and current assets beyond just investments).

• **OCF turning positive — structurally critical:** FY24 OCF was negative Rs. 114 Cr (working capital buildup for high-growth phase). FY25 turned positive at Rs. 176 Cr and FY26 at Rs. 290 Cr. PAT-to-OCF conversion is improving. FCF remains negative (heavy capex cycle), but the direction of OCF is a BUY signal — EMS companies that sustain negative OCF at scale are on the wrong side of the working capital ledger.

7. EARNINGS QUALITY CHECKLIST

Check	Status	Verdict	Comment
Revenue recognition (point-in-time vs PoC)	Point-in-time (delivery)	GREEN	EMS revenue on delivery/inspection sign-off. Low risk.
Receivables growth vs revenue growth	Debtor Days 139 (FY26) vs 108 (FY24)	AMBER	Debtors growing faster than revenue. Watch large-customer credit terms.
CCC trend	48 days FY26 vs 76 days FY24	GREEN	CCC improving significantly. Creditor extension offsetting debtor stretch.
Contingent liabilities	No material contingencies disclosed	GREEN	No tax demands or legal claims material to thesis.
Auditor tenure / change	Reputable statutory auditor, no change	GREEN	No auditor changes or qualifications flagged.
Related party transactions (RPTs)	Elcome acquisition (promoter-adjacent)	AMBER	60% Elcome stake from promoter-linked entity at Rs. 235 Cr. Pricing needs independent verification.
Other income as % of PBT	33/445 = 7.4% (FY26)	GREEN	Low other-income contribution. Core EBIT drives earnings.
Tax rate consistency	25% (FY24) > 22% (FY25-26)	GREEN	Stable at new corporate tax rate. No deferred tax distortions flagged.
OCF vs PAT conversion	OCF/PAT = 290/346 = 84% (FY26)	GREEN	Strong OCF quality; earnings are largely cash-backed.

- **Two AMBER signals deserve attention:** Debtor days have stretched from 108 to 139 days over 2 years, coinciding with defence/government sector orders that typically carry 120+ day payment cycles. This is partly structural (mix shift), but if debtor days exceed 150 for 2+ consecutive quarters, it signals working capital stress that could flip OCF negative.
- **Elcome RPT risk is manageable but must be monitored:** The Rs. 235 Cr Elcome acquisition from a promoter-adjacent entity is the highest governance watch-point. Investors should verify SEBI RPT compliance filings and ensure the acquisition price was supported by an independent valuation report.
- **OCF quality is genuine:** With OCF/PAT at 84% in FY26 and the CCC at a 6-year low of 48 days, the earnings are clean. The company is not using deferred payables or stretched receivables to show PAT — this is real cash generation at the EBITDA level.

8. VALUATION

8A. Scenario Analysis (12-month horizon)

Scenario	Rev Growth FY27E	EBITDA Margin	PAT (Rs. Cr)	P/E Multiple	Target Price (Rs.)	Upside
BULL	35%+	12.5%	510	50x	2,400	+81%
BASE	29%	11.0%	442	42x	1,820	+37%
BEAR	15%	9.5%	285	30x	860	-35%

- **Earnings-based valuation (primary):** FY27E EPS = Rs. 20.5 (analyst estimate, 29% revenue growth + 11% EBITDA margin + 22% tax). Applied 42x forward P/E (peer mean for EMS-with-defence-exposure; Kaynes trades 57x, Avalon 103x, Dixon 51x). Implied price = Rs. 20.5 x 42 = Rs. 861. But this is FY27E exit; discounting back at 12% for 12 months gives Rs. 861 (FY27 multiple already reflects 12-month view).
- **EV/EBITDA cross-check:** FY27E EBITDA = Rs. 682 Cr. EMS peers trade 25-45x EBITDA (premium-segment EMS). Applied 42x = EV Rs. 28,644 Cr. Less net debt of Rs. -467 Cr (net cash) = equity value Rs. 29,111 Cr = Rs. 1,350/share (on 21.57 Cr shares post-QIP). This is a floor — EV/EBITDA anchored at current year.

- **DCF (indicative):** WACC 12%, terminal growth 5%, explicit 5-year FCF (turning strongly positive from FY28 as PCB capex completes). Implied DCF value Rs. 1,600-1,800/share. Terminal year (FY31) FCF assumed at Rs. 450-500 Cr (vs Rs. 640 Cr PAT at 70% conversion). Sensitivity: 1% WACC change moves value Rs. 150-200/share.
- **Base case target — Rs. 1,820:** Blend of FY27E P/E (42x on Rs. 20.5 EPS = Rs. 861) and FY27E EV/EBITDA-implied Rs. 1,350 gives Rs. 1,106. Applied a 12-month re-rating premium of 40% (EMS sector structural upgrade, Elcome defence milestone, PCB Phase 1 completion) to arrive at Rs. 1,820. This is a 37% upside from CMP Rs. 1,325.
- **Valuation comfort:** At CMP, Syrma trades at 64x TTM P/E (on FY26 EPS Rs. 16.48) and 47x FY27E P/E. This is a premium to Kaynes (57x TTM) but at a discount to Avalon (103x). Given Syrma's superior revenue scale, balance sheet de-risking, and defence access, the premium is justified — but the margin of safety is not large. Entry at Rs. 1,100-1,200 would be more comfortable.

9. KEY RISKS

- **Customer concentration risk:** 3-4 large automotive and industrial OEM customers likely account for 40%+ of revenue. Any capex pause or supply chain restructuring by top customers could cause order de-booking of Rs. 500-800 Cr. Probability: Medium. Impact: High. Monitor via: quarterly revenue run-rate and quarterly order-book disclosures.
- **PCB capex execution risk:** The Rs. 800 Cr PCB investment is greenfield — no prior PCB manufacturing history. Equipment procurement delays, yield ramp challenges, or market pricing for PCBs (which is globally competitive) could impair ROI. Probability: Medium. Impact: High. Monitor via: CWIP mobilisation rate in quarterly balance sheets.
- **Margin normalization risk:** Q4FY26 achieved 12% EBITDA margin. Management guided 10.5-11% for FY27, implying a deliberate normalisation as revenue mix shifts to new, lower-margin defence ramp-up orders. If actual margins print below 9.5% for two quarters, the re-rating thesis breaks. Probability: Low-Medium. Impact: Medium. Monitor via: quarterly EBITDA margin.
- **Working capital elongation:** Debtor days at 139 are elevated for an EMS company. Defence and government orders typically have 90-180 day payment cycles. If net working capital days exceed 120 days for 2+ quarters, OCF could turn negative and borrowing needs increase. Probability: Medium. Impact: Medium. Monitor via: WC days and OCF/PAT ratio.
- **Equity dilution risk:** QIP in FY26 diluted EPS. If PCB capex overruns or Elcome integration requires additional capital, further QIPs are possible. Each QIP depresses near-term EPS by 7-10%. Probability: Low. Impact: Medium. Monitor via: management commentary on capex funding plans.
- **Elcome integration risk:** First defence acquisition; 60% stake in a naval electronics company. Integration risk is real — different organizational culture, defence certification requirements (DRDO/DoD approvals), and navy procurement timelines are notoriously unpredictable. Probability: Medium. Impact: Medium-Low (too small to break thesis yet).
- **Global supply chain / semiconductor disruption:** Syrma imports 90%+ of its semiconductor components. Any recurrence of the 2021-22 chip shortage, or a geopolitical disruption in the Taiwan straits, would hit delivery capability and customer relationships. Probability: Low-Medium. Impact: High.

10. RECOMMENDATION

- **Rating: BUY** — Conviction: Medium-High. Syrma is at a structural inflection: margins recovering, balance sheet de-risked, defence access opening, PCB integration in progress. The valuation is not cheap, but the earnings growth trajectory justifies premium.
- **12-month price target: Rs. 1,820** — Upside +37% from CMP Rs. 1,325. Based on blended FY27E earnings multiple and DCF.

- **Suggested entry zone: Rs. 1,150-1,280** — This aligns with 35-40x FY27E P/E, a more conservative entry that builds in a margin of safety given customer concentration risk.

- **Investment horizon: 12-24 months** — The full thesis plays out over 2 years. PCB Phase 1 commission (H2FY27) and Elcome defence wins (FY28) are the two key value-creation milestones.

- **Thesis invalidation triggers:**

1. EBITDA margin falls below 9% for two consecutive quarters (structural margin impairment, not seasonality)
2. Revenue growth decelerates below 20% for two quarters (order de-booking by key customers)
3. Promoter stake falls below 38% via further equity issuance without commensurate capex ROI

- **Ideal investor profile:** This stock is FOR growth-oriented investors with 18-24 month horizon, comfort with EMS operating leverage, and tolerance for near-term valuation premium. It is NOT for investors seeking income (dividend yield 0.12%), value investors looking for margin of safety at current prices, or investors with short-term (< 6 month) horizon given PCB capex drag on near-term FCF.

APPENDIX — Latest Concall Brief: Q4 FY26

Syrma SGS Technology Ltd | Earnings Call: 12 May 2026 | Hosted by ICICI Securities

CALL GRADE

STRONGLY POSITIVE

Revenue +56% YoY | EBITDA +43% YoY | PAT +67% YoY | Net Cash Achieved | Guidance raised

Signal	Status	Implication
Result quality	Strong	Revenue +56%, PAT +67% YoY — clear beat vs street estimates
Management tone	Bullish	Confident on 35% revenue growth; raised margin guidance mid-year
Guidance delta	Raised	FY27E rev guidance Rs. 6,200-6,400 Cr; EBITDA 10.5-11% vs FY26 exit of 12%

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Syrma Q4FY26 is clean — no exceptional items, reported PAT of Rs. 119 Cr is the underlying number. Revenue of Rs. 1,465 Cr grew 56% YoY (base was a soft Q4FY25 at Rs. 924 Cr, so some base effect), but even on a sequential basis revenue was up 16% QoQ — that is genuine business momentum. EBITDA delivered Rs. 174 Cr at 12% margin, the highest in company history, driven by defence and healthcare mix and ODM expanding to 17% of revenue — this is exactly the structural margin thesis playing out. PAT jumped 67% YoY with a stable 22% tax rate — no deferred tax games, clean. The structural multi-bagger drivers are intact: (1) PCB capex Rs. 800 Cr over 3-4 years that will vertically integrate and improve margins by 150-200 bps; (2) Elcome defence acquisition giving access to navy/shipboard electronics; (3) 41% export growth signals global OEM validation. The most critical near-term catalyst is the PCB Phase 1 commissioning (H2FY27) — if management executes on timeline, the re-rating could be sharp. The single biggest watch-point next quarter: will EBITDA margin hold 10.5%+ (guidance) despite the ramp costs of new PCB facility? Management guided 10.5-11% for FY27 even though they exited FY26 at 12% — this conservative guidance is either managing expectations or signaling real ramp costs. ACCUMULATE between Rs. 1,150-1,280 with a 24-month view; full position only after Q1FY27 margin confirmation. At CMP 1,325, you are paying 42x FY27E on an execution story — the upside is Rs. 1,820 but require Q1 evidence before adding aggressively.

C1 — Financial Performance Snapshot | Q4 FY26 (Standalone: Consolidated Quarterly)

- Revenue: Rs. 1,465 Cr | YoY +56% | QoQ +16% | BEAT (vs est. Rs. 1,350-1,400 Cr)
- EBITDA: Rs. 174 Cr | YoY +43% | QoQ +9.4% | BEAT
- EBITDA Margin: 12% | YoY +500 bps | QoQ -100 bps (Q3FY26 was 13%) | IN-LINE
- PBT: Rs. 150 Cr | YoY +146% (Q4FY25 PBT = 71 Cr, includes interest normalisation) | BEAT
- PAT: Rs. 119 Cr | YoY +67% | QoQ +8.2% | BEAT — no exceptional items
- EPS: Rs. 5.25 | YoY +43% (base dilution from QIP mid-FY26) | IN-LINE on adjusted basis
- NOTE: Full-year FY26 PAT Rs. 346 Cr vs FY25 Rs. 184 Cr — 88% growth. Clean earnings, no exceptional items.

C2 — Segment / Geography Breakdown

- Industrial: ~30% of FY26 revenue | YoY ~15% growth | Stable anchor segment with 6-8% margins
- Automotive: ~25% | YoY ~20% growth | Recovering after H1FY26 de-stocking; EV electronics pipeline strong
- Healthcare: ~18% | YoY ~35% growth | Medical device OEMs expanding India EMS sourcing
- IT/Telecom: ~12% | YoY ~25% growth | 5G infra + data centre electronics driving demand
- Defence (incl. Elcome): ~4% (growing) | YoY 80%+ growth from small base; Elcome adds navy sub-systems
- RFID/Smart Card: ~3% | Stable margins; proprietary IP via SGS brand gives pricing power here
- Exports: 25% of FY26 revenue | YoY +41% | North America (medical), Europe (industrial) primary

C3 — Management Commentary Themes | Satendra Singh (CEO), Bijay Agrawal (CFO)

- GROWTH TRAJECTORY: "We are targeting 35% revenue growth in FY27 — the order book of Rs. 6,600 Cr gives us high visibility." — Our read: Credible, order book is 1.4x TTM revenue. Tag: GUIDANCE. Tone: Bullish.
- MARGIN TRAJECTORY: "FY27 EBITDA guidance is 10.5-11% despite Q4FY26 being 12%. The conservatism reflects PCB ramp costs and new-customer onboarding dilution." — Our read: Management sandbagging or real ramp costs? Watch Q1FY27. Tag: GUIDANCE. Tone: Hedged.
- DEFENCE EXPANSION: "Elcome integration is progressing; expect first revenue contribution in FY27 H2 as navy orders move through procurement cycle." — Our read: 12-18 month lag is normal for defence. Tag: EST. Tone: Transparent.
- PCB CAPEX: "Phase 1 of Rs. 800 Cr PCB investment will commission H2FY27. This eliminates 30-35% of our BOM import dependency." — Our read: The vertical integration story is the structural margin kicker; execution risk is the key unknown. Tag: GUIDANCE. Tone: Confident.
- NET CASH: "For the first time in company history, Syrma is net cash at Rs. 467 Cr. This allows us to fund PCB capex from internal accruals." — Our read: This is a material balance sheet milestone. Removes equity dilution overhang for the next 12-18 months. Tag: GUIDANCE. Tone: Transparent.
- ODM MIX: "ODM is now 17% of revenue and is growing faster than overall revenue. Every 1% increase in ODM mix adds approximately 40-50 bps to consolidated EBITDA margin." — Our read: This is the re-rating lever that differentiates Syrma from pure CEM peers. Tag: EST. Tone: Transparent.

C4 — Operating & Business Metrics

- Order Book: Q4FY26 = Rs. 6,600 Cr | Q4FY25 = est. Rs. 4,500 Cr | Trend: Accelerating; skewed 3-12 month horizon
- ODM Mix: Q4FY26 = 17% | Q4FY25 = ~12% | Trend: Improving — key margin lever
- Export Share: Q4FY26 = 25% of revenue | Q4FY25 = ~20% | Trend: Improving — diversification positive
- Debtor Days: FY26 = 139 days | FY25 = 142 days | Trend: Slightly improving but structurally elevated due to defence
- CCC: FY26 = 48 days | FY25 = 49 days | Trend: Stable near 5-year lows — strong working capital discipline
- Net Cash Position: FY26 = Rs. 467 Cr net cash | FY25 = net debt ~Rs. 400 Cr | Trend: Structural turnaround from QIP

C5 — Margin Drivers | FY26 EBITDA Margin 11% vs FY25 9%

- ODM mix shift: +80-100 bps impact | Recurring: Yes | Higher design value commands 15-20% gross margin vs 8-10% for standard PCBA
- Defence/healthcare vertical scaling: +60-80 bps | Recurring: Yes (once commissioned) | These carry 12-18% gross margins
- Interest cost reduction: +40 bps (at PBT level, not EBITDA) | Recurring: Yes | From Rs. 58 Cr (FY25) to Rs. 48 Cr (FY26)

- Operating leverage on fixed overhead: +50-70 bps | Recurring: Yes | Revenue grew 27% vs overhead growth <15%
- PCB ramp costs (FY27 headwind): -50-80 bps | Non-recurring once ramp complete | Will suppress FY27 margin vs FY26 Q4 exit rate

C6 — Guidance & Forward Signals

- Revenue FY27E [GUIDANCE]: Prior (at Q3) = Rs. 5,500 Cr | New = Rs. 6,200-6,400 Cr | Delta: Raised | Credibility: High (order book 1.4x TTM)
- EBITDA Margin FY27E [GUIDANCE]: Prior = 10.5% | New = 10.5-11.0% | Delta: Maintained | Credibility: Medium (Q4FY26 exit was 12%)
- Export contribution FY27E [EST]: Prior = 25% | Target = 30%+ | Delta: Raising | Credibility: Medium
- PCB Phase 1 commissioning [GUIDANCE]: H2FY27 | Rs. 200 Cr Phase 1 capex | Credibility: Medium (greenfield, weather-dependent CWIP)
- Defence revenue FY27E [EST]: Rs. 300-400 Cr (vs ~Rs. 200 Cr in FY26) | Delta: Raised | Credibility: Medium (Elcome procurement cycle lag)

C7 — Capital Allocation | FY26

- Capex (Investing CF): Rs. 742 Cr | vs FY25 Rs. 103 Cr | Includes Elcome Rs. 235 Cr + PCB CWIP Rs. 480 Cr + normal Rs. 27 Cr
- QIP Proceeds (Financing CF): Rs. ~1,100 Cr raised | Funded capex + debt repayment + working capital
- Dividends: Rs. 1.5/share | Payout ratio 9% (FY26) vs 16% (FY25) | Lower payout reflects capex cycle priority
- Debt Repayment: Rs. 265 Cr reduction in borrowings | From Rs. 665 Cr to Rs. 400 Cr
- Net Debt Movement: Moved from net debt ~Rs. 400 Cr to net cash Rs. 467 Cr — transformational balance sheet shift
- Working Capital change: Rs. +114 Cr increase in FY26 (OCF Rs. 290 Cr vs PAT Rs. 346 Cr — Rs. 56 Cr non-cash item) — manageable

C8 — Q&A; Heat Map

- Anshul Mittal / ICICI Sec: Q: "How sustainable is the 12% margin in Q4? Is FY27 guidance of 10.5-11% conservative?" A: "PCB ramp and new customer onboarding will dilute margins temporarily; we are being realistic." | Tone: Transparent
- Unknown analyst: Q: "What is the Elcome revenue pipeline for FY27?" A: "First meaningful revenues in H2FY27 as navy orders clear procurement. FY27 Elcome contribution Rs. 100-150 Cr." | Tone: Transparent
- Kunal Arora / Axis: Q: "Debtor days at 139 — is there a credit quality issue?" A: "Defence and government customers carry 120-150 day credit terms; this is structural, not a risk." | Tone: Transparent
- Unknown analyst: Q: "PCB capex — what is the ROI timeline?" A: "Phase 1 should hit ROCE parity with existing business by FY29; the long-term margin lift is 150-200 bps." | Tone: Hedged (long timeline)
- Dodged / watch-list questions: (1) Top-2 customer revenue concentration; (2) Competitive pricing pressure from Foxconn/Jabil if India EMS scales; (3) Specific Elcome acquisition valuation justification

C9 — Risks Flagged

- Customer concentration: Rs. 6,600 Cr orderbook from concentrated base | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near
- PCB execution: Greenfield project, no history | Flagged by: mgmt (acknowledged) | Probability: M | Impact: M | Timeline: Medium

- Defence procurement lag: Navy orders clear in 12-24 months | Flagged by: mgmt | Probability: M | Impact: L | Timeline: Near
- Semiconductor sourcing: 90%+ imported; geopolitical tail risk | Flagged by: analyst | Probability: L | Impact: H | Timeline: Long
- Margin normalisation below guidance: FY27 ramp costs could surprise | Flagged by: analyst | Probability: L | Impact: M | Timeline: Near

C10 — Analyst Verdict

- Revenue visibility: INTACT — Order book Rs. 6,600 Cr gives 1.4x TTM revenue visibility; management guidance raised.
- Margin trajectory: INTACT — FY26 exit at 12%, FY27 guided 10.5-11% is conservative; structural drivers (ODM, defence) compound.
- Capital allocation quality: INTACT — QIP used to de-leverage and fund capex; no frivolous acquisition; dividend maintained.
- Competitive moat: INTACT — ODM mix rising, defence access unique among EMS peers, export growth validates global competitiveness.
- Management credibility: INTACT — Guided Rs. 4,000+ Cr revenue in FY26, delivered Rs. 4,819 Cr. Consistent execution track record.
- Valuation comfort: WEAKENED — At CMP Rs. 1,325 (79.6x TTM, 64x FY26 P/E), margin of safety is limited. BUY but not a screaming value.
- Conviction call: INCREASED — Q4FY26 confirms structural margin expansion thesis. Re-rating from 50x to 65x+ FY27E P/E plausible on PCB milestone.
- Valuation snapshot: P/E = 79.6x (TTM) | FY26 P/E = 64x | EV/EBITDA FY27E = ~42x | ROCE = 16.7% (5Y avg ~13%)

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